CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: **Product Category Management Policy**					
REF: BISGPRODUCTMKT OBS/PPS-001	PERIOD			VERSION	PAGE 1 OF 4
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Objective

Aim of this document is to establish the guidelines that must be followed for the effective management of one or more product categories, in order to guarantee the successfully commercialization and promotion of the products and services that conform it, from its launching until and up to the discontinuation of them. Maximizing profitability and expected results according to the following three factors: unit sales, sales revenue and gross profit margin; assuring always a healthy profit and loss figure.

Scope

This policy applies to all activities and processes performed by the Product Specialists and / or Senior Product Specialists of the Marketing Department of the Business Imaging Solutions Group (BISG) Business Division of Canon Mexicana; covering both segments: Office Solutions (Office Business Solutions - OBS) and High Production Solutions (Production Printing Solutions - PPS).

Definitions

Within this document the following key concepts are involved:

- **Roadmap:** strictly confidential nature document in PowerPoint and PDF format; used as a planning tool for the life cycle of all products commercialized by Canon Mexicana and indicates the internal release date, public, updates (when it applies) and end of life date.
- **CPC:** Cost per Copy/Printing and which may consider 2 variables:
  CPC only Consumables: is the result of the division of the price between the yield of the toner and drum.
  CPC with Service: is the result of the sum of cost per copy plus the proportional impact of the cost of service (parts, labor) during the period of use of a printing device.

Total CPC: It is the result of the sum of the CPC with service plus the proportional impact of device initial acquisition cost during the period of use and between the monthly print volume.

☐ **Aftermarket:** Term used for the revenue generated as result of the main unit sales through the sales of the genuine consumables necessary for the printing device operation and / or genuine parts for the maintenance.

☐ **Market Share:** Concept to indicate the market percentage (from total market size) owned by a company.

☐ **MTP:** Mid Term Plan for its acronym in English and refers to the annual process of Canon Mexicana in which the product marketing strategy is created through its different sales channels and during a period of 3 years after the year in progress.

Responsibilities

For all products in charge, the Product Specialist or Senior Product Specialist is responsible for:

1. Develop Annual Product Strategy:
   a. Monthly Roadmap Update
   b. Product Launch Process
   c. Compliance with Official Mexican Standards (NOM)
   d. Establishment of Prices
      i. Main Unit and Accessories sales price for Dealer
      ii. Main Unit and Accessories rental price for Direct Sale
      iii. CPC for sale and rent Elaboration
   e. Dealer price list publication
   f. Aftermarket generation
   g. Promotions plan
      i. Quarterly
      ii. Seasonal
      iii. On demand
   h. Product marketing plan by sales channel
   i. Communication plan
   j. Marketing Sales Tools
   k. Training Plan
   l. Market Share Monitoring.

2. Monthly results review vs. objectives (units, sales and margin) and develop the action plan required to achieve the expected objectives.
3. Annually create the MTP product category strategy.
4. To be the official communication channel between CLAG / CUSA / CSA / Venlo and CMEX for the transmission and collection of all the information related to the products and / or categories under their charge.

Procedure

The detailed instructions to perform each one of the responsibilities previously mentioned in this document are described within the BISG operation manual of the Office Solutions Mkt Department under the name of: "Office Solutions Marketing Specialist Manual" for specialists of OBS and in the operating manuals of the BISG division of the Professional Printing Solution Marketing under the names of "Production Product Specialist, BISG Marketing" and "Sr. Market Segment Specialist" for PP specialists, detailing the workflow, seasonality and involved areas, in the section named main functions (please refer to the operating manual of each function attached in Excel format).

Reference documents

Manual Especialista de Mercadotecnia Office Solutions
Version 1.0 Vigencia 31/12/2018
Depto. Office Solutions Mkt

Especialista de Producto de Producción. Marketing BISG
Version 1.0 Vigencia 01/09/2017
Depto. Professional Printing Solution Marketing

Especialista Sr. de Segmento de Mercado
Version 1.0 Vigencia 30/06/2017
Depto. Professional Printing Solution Marketing

Annexed

NA

PREPARED BY:	REVIEWED BY:	APPROVED BY:
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